

3.5.2 Analysing financial performance

Content	Additional information
How to construct and analyse budgets and cash flow forecasts	Analysing budgets should include variance analysis and adverse and favourable variances.
The value of budgeting	
How to construct and interpret break-even charts	Break-even analysis should include: • break-even output • margin of safety • contribution per unit • total contribution.
How to calculate and illustrate on a break-even chart the effects of changes in price, output and cost	
The value of break-even analysis	
How to analyse profitability	Analysing profitability margins should include the following ratio analysis: • gross profit • profit from operations • profit for the year.
How to analyse timings of cash inflows and outflows	Analysing timings of cash flow should include an understanding of payables and receivables.
The use of data for financial decision making and planning	